

Power Finance Corporation Ltd. | Page 60

Derivative Financial Instruments

The Company and its Subsidiary REC Ltd., enters into derivatives for hedging Currency and Interest Rate risk. Derivatives held for risk management purposes include hedges that are either designated as effective hedges under the hedge accounting requirements or hedges that are economic hedges. The table below shows the fair values of derivative financial instruments recorded as assets or liabilities together with their notional amounts.

Part - I

(₹ in crore)

Sr. No.	Particulars	As at 30.06.2026			As at 31.03.2026		
		Notional Amounts	Fair value Assets	Fair value Liabilities	Notional Amounts	Fair value Assets	Fair value Liabilities
(i)	Currency Derivatives:						
	- Currency Swaps	37,389.40	2,198.11	301.81	37,011.58	1,690.23	700.58
	- Options	3,29,432.60	27,535.33	2,632.89	3,30,172.90	27,316.84	2,076.23
	Total Currency Derivatives (i)	3,66,822.00	29,733.44	2,934.70	3,67,184.48	29,007.07	2,776.81
(ii)	Interest Rate Derivatives						
	- Forward Rate Agreements and Interest Rate Swaps	1,87,105.27	2,218.02	545.28	1,83,501.24	1,581.05	1,112.88
	Total Interest Rate Derivatives (ii)	1,87,105.27	2,218.02	545.28	1,83,501.24	1,581.05	1,112.88
	Total Derivative Financial Instruments [(i) + (ii)]	5,53,927.27	31,951.46	3,479.98	5,50,685.72	30,588.12	3,889.69

Part - II: Included in above (Part I) are Derivatives held for hedging and risk management purposes as follows:

(₹ in crore)

Sr. No.	Particulars	As at 30.06.2026			As at 31.03.2026		
		Notional Amounts	Fair value Assets	Fair value Liabilities	Notional Amounts	Fair value Assets	Fair value Liabilities
(i)	Fair Value Hedging						
	-Forward Rate Agreements and Interest Rate Swaps	46,774.90	401.63	51.28	42,033.10	18.86	366.06
	Total Fair Value Hedging (Designated) (i)	46,774.90	401.63	51.28	42,033.10	18.86	366.06
(ii)	Cash Flow Hedging:						
	- Currency Derivatives	3,62,975.53	29,544.69	2,934.71	3,67,184.48	29,007.07	2,776.81
	- Interest Rate Derivatives	1,35,330.36	1,626.47	473.08	1,36,468.14	1,354.08	718.43
	Total Cash Flow Hedging (ii)	4,98,305.89	31,171.16	3,407.79	5,03,652.62	30,361.15	3,495.24
(iii)	Undesignated Derivatives						
		8,846.48	378.67	20.91	5,000.00	208.11	28.39
	Total Undesignated Derivatives (iii)	8,846.48	378.67	20.91	5,000.00	208.11	28.39
	Total Derivative Financial Instruments [(i) + (ii) + (iii)]	5,53,927.27	31,951.46	3,479.98	5,50,685.72	30,588.12	3,889.69



Sr. No.	Particulars	As at 30.06.2026	As at 31.03.2026
(A)	Trade Receivables		
(i)	- considered good - Secured (Gross)	-	-
(ii)	- considered good - Unsecured (Gross)	156.91	255.57
(iii)	less: Impairment loss allowance	(4.44)	(22.19)
(iv)	- which have Significant Increase in Credit Risk (Gross)	79.75	106.44
(v)	less: Impairment loss allowance	(15.01)	(23.62)
(vi)	- credit Impaired (Gross)	120.19	95.04
(vii)	less: Impairment loss allowance on Credit Impaired	(106.97)	(84.67)
	Sub Total (A)	230.43	326.57
(B)	Other receivables		
(i)	- considered good - Unsecured (Gross)	5.10	4.06
(ii)	less: Impairment loss allowance	(0.19)	(0.19)
	Sub Total (B)	4.91	3.87
	Total Receivables (A+B)	235.34	330.44



The Group has categorised all loans at amortised cost in accordance with the requirements of Ind AS 109 'Financial Instruments'.

(₹ in crore)

Sr. No.	Particulars	As at 30.06.2026	As at 31.03.2026
(A)	Loans to Borrowers		
(i)	Term Loans	11,09,522.19	11,07,882.91
	- Rupee Term Loan	11,09,427.59	11,07,882.91
	- Foreign Currency Term Loan	94.60	-
(ii)	Buyer's Line of Credit	1,503.55	1,546.30
(iii)	Working Capital Loans	48,571.12	53,802.37
(iv)	Others- Deferred Payment Guarantee	536.62	536.62
(v)	Principal Outstanding (i to iv)	11,60,133.48	11,63,768.20
(vi)	Interest accrued but not due on Loans on (v) above	6,374.25	6,790.16
(vii)	Interest accrued & due on Loans on (v) above	501.96	870.33
(viii)	Unamortised Fee on Loans on (v) above	(935.82)	(881.90)
	Gross Carrying Amount (v to viii)	11,66,073.87	11,70,546.79
	Less: Impairment loss allowance	(15,596.48)	(17,292.21)
	Net Carrying Amount	11,50,477.39	11,53,254.58
(B)	Security-wise classification		
(i)	Secured by Tangible Assets	5,10,818.23	5,04,786.91
(ii)	Secured by Intangible Assets	-	-
(iii)	Covered by Bank/Government Guarantees	4,26,033.47	4,34,596.98
(iv)	Unsecured	2,29,222.17	2,31,162.90
	Gross Security-wise classification	11,66,073.87	11,70,546.79
	Less: Impairment loss allowance	(15,596.48)	(17,292.21)
	Net Security-wise classification	11,50,477.39	11,53,254.58
(C) I	Loans in India		
(i)	Public Sector	9,39,401.70	9,43,555.94
(ii)	Private Sector	2,26,672.17	2,26,990.85
	Gross Carrying Amount of Loans in India	11,66,073.87	11,70,546.79
	Less: Impairment loss allowance	(15,596.48)	(17,292.21)
	Net Carrying Amount of Loans in India	11,50,477.39	11,53,254.58
(C) II	Loans Outside India	-	-
	Less: Impairment loss allowance	-	-
	Net Carrying Amount of Loans Outside India	-	-
	Net Carrying Amount of Loans in India and Outside India	11,50,477.39	11,53,254.58



(₹ in crore)

Sr. No.	Particulars	As at 30.06.2026					
		Amortised Cost (1)	Designated at FVTOCI (2)	FVTPL (3)	Subtotal (4)=(2)+(3)	Others (5)	Total (1)+(4)+(5)
(i)	Government Securities	6,103.86	-	-	-	-	6,103.86
(ii)	Debt securities	5,273.20	-	981.83	981.83	-	6,255.03
(iii)	Equity Instruments	-	3,374.54	296.24	3,670.78	-	3,670.78
(iv)	Preference Shares	101.67	-	-	-	-	101.67
	Total Investments (Other than accounted for using equity method)	11,478.73	3,374.54	1,278.07	4,652.61	-	16,131.34
	Geography wise investment						
(i)	Investments Outside India	-	-	-	-	-	-
(ii)	Investments in India	11,478.73	3,374.54	1,278.07	4,652.61	-	16,131.34
	Gross Geography wise investment	11,478.73	3,374.54	1,278.07	4,652.61	-	16,131.34
	Less: Impairment loss allowance	(107.86)	-	-	-	-	(107.86)
	Net Geography wise investment	11,370.87	3,374.54	1,278.07	4,652.61	-	16,023.48

(₹ in crore)

Sr. No.	Particulars	As at 31.03.2026					
		Amortised Cost (1)	Designated at FVTOCI (2)	FVTPL (3)	Subtotal (4)=(2)+(3)	Others (5)	Total (1)+(4)+(5)
(i)	Government Securities	6,144.15	-	-	-	-	6,144.15
(ii)	Debt securities	5,296.39	-	955.58	955.58	-	6,251.97
(iii)	Equity Instruments	-	2,910.99	247.74	3,158.73	-	3,158.73
(iv)	Preference Shares	101.67	-	-	-	-	101.67
	Total Investments (Other than accounted for using equity method)	11,542.21	2,910.99	1,203.32	4,114.31	-	15,656.52
	Geography wise investment						
(i)	Investments Outside India	-	-	-	-	-	-
(ii)	Investments in India	11,542.21	2,910.99	1,203.32	4,114.31	-	15,656.52
	Gross Geography wise investment	11,542.21	2,910.99	1,203.32	4,114.31	-	15,656.52
	Less: Impairment loss allowance	(107.74)	-	-	-	-	(107.74)
	Net Geography wise investment	11,434.47	2,910.99	1,203.32	4,114.31	-	15,548.78

FVTOCI - Fair Value through Other Comprehensive Income, FVTPL - Fair Value through Profit or Loss

6B Investments accounted for using equity method

(₹ in crore)

Sr. No.	Particulars	As at 30.06.2026	As at 31.03.2026
(i)	Associates		
	- Ultramega Power Projects / Independent Transmission Projects [5,90,000 equity shares of ₹ 10 each; previous year 5,50,000 equity shares of ₹ 10 each]	0.08	0.08
	Sub Total	0.08	0.08
	Less: Impairment loss allowance	-	-
	Total Investments accounted for using equity method	0.08	0.08



Other Financial Assets

The Group has categorised other financial assets at amortised cost in accordance with the requirements of Ind AS 109 'Financial Instruments'.

(₹ in crore)

Sr. No.	Particulars	As at 30.06.2026	As at 31.03.2026
(i)	Recoverable on account of Government of India Serviced Bonds	29,782.69	29,356.50
(ii)	Security Deposits	10.23	10.10
(iii)	Advances to Associates	127.33	127.33
(iv)	Advances to Employees	241.40	240.45
(v)	Advance paid towards variation margin	32.73	63.32
(vi)	Others	344.28	340.76
	Less: Impairment loss allowance on Others	(146.10)	(146.27)
	Total Other Financial Assets	30,392.56	29,992.19

8 Current Tax Assets / Liabilities (Net)

(₹ in crore)

Sr. No.	Particulars	As at 30.06.2026	As at 31.03.2026
(i)	Advance income tax and TDS net of Provision	261.16	467.46
(ii)	Tax Deposited on income tax demands under contest	4.98	0.96
(iii)	Income tax refundable for previous year	6.46	4.55
	Total Current Tax Assets (Net)	272.60	472.97
(i)	Provision for income tax net of Advance Tax	1,068.74	22.04
(ii)	Provision for income tax for demand under contest	0.23	0.23
	Total Current Tax Liabilities (Net)	1,068.97	22.27



9 Investment property*

(₹ in crore)

Particulars	Opening balance	Additions / transfer during the year	Sales/ adjustment during the year	Closing balance
As at 30-06-2026				
Gross Carrying Value	2.46	-	-	2.46
Accumulated depreciation/ amortisation	(1.48)	(0.01)		(1.49)
Net Carrying Value	0.98	(0.01)	-	0.97
As at 31-03-2026				
Gross Carrying Value	2.46	-	-	2.46
Accumulated depreciation/ amortisation	(1.45)	(0.03)		(1.48)
Net Carrying Value	1.01	(0.03)	-	0.98

*pertains to PFC's subsidiary REC Ltd.

10 Property, Plant and Equipment, Capital Work-in-Progress (CWIP), Intangible assets under development and Other Intangible assets

FY 2026-27

(₹ in crore)

Particulars	Property, Plant and Equipment (PPE)									Capital Work-in-Progress	Intangible Assets under development	Other Intangible assets
	Freehold Land	Buildings	Plant & Equipment	EDP Equipment	Office Equipment	Furniture and Fixtures	Vehicles	Leasehold Improvements	Total	Immovable property	Computer Software	Computer Software
Gross Carrying Amount as on 01.04.2026	113.77	480.72	83.15	98.62	68.21	83.18	0.72	1.66	930.03	128.34	15.90	32.77
Additions	-	(0.01)	0.09	3.39	2.74	0.69	0.01	-	6.91	8.68	0.16	0.04
Borrowing Cost Capitalised	-	-	-	-	-	-	-	-	-	1.39	-	-
Disposals / Adjustments	-	-	(0.04)	(1.61)	0.48	(0.05)	(0.08)	-	(1.30)	-	-	-
Gross Carrying Amount as on 30.06.2026 (A)	113.77	480.71	83.20	100.40	71.43	83.82	0.65	1.66	935.64	138.41	16.06	32.81
Accumulated Depreciation / Amortisation as on 01.04.2026	-	56.84	34.10	55.49	33.95	38.12	0.19	1.66	220.35	-	-	26.59
Charge for the period	-	1.91	2.23	6.09	4.15	2.61	0.02	-	17.01	-	-	0.44
Assets disposed /written off from books	-	0.01	(0.01)	(1.16)	1.25	0.48	(0.03)	-	0.54	-	-	-
Accumulated Depreciation / Amortisation as on 30.06.2026 (B)	-	58.76	36.32	60.42	39.35	41.21	0.18	1.66	237.90	-	-	27.03
Net Carrying Amount as on 30.06.2026 (A-B)	113.77	421.95	46.88	39.98	32.08	42.61	0.47	-	697.74	138.41	16.06	5.78



FY 2025-26

(₹ in crore)

Particulars	Property, Plant and Equipment (PPE)									Capital Work-in-Progress	Intangible Assets under development	Other Intangible assets
	Freehold Land	Buildings	Plant & Equipment	EDP Equipment	Office Equipment	Furniture and Fixtures	Vehicles	Leasehold Improvements	Total	Immovable property	Computer Software	Computer Software
Gross Carrying Amount as on 01.04.2025	113.77	479.36	83.23	71.93	77.23	86.51	0.64	1.66	914.33	76.21	11.98	32.07
Additions	-	-	-	2.58	2.55	0.77	-	-	5.90	7.71	2.05	-
Borrowing Cost Capitalised	-	-	-	-	-	-	-	-	-	1.31	-	-
Disposals / Adjustments	-	-	-	(1.08)	(0.75)	(0.32)	(0.01)	-	(2.16)	-	-	-
Gross Carrying Amount as on 30.06.2025 (A)	113.77	479.36	83.23	73.43	79.03	86.96	0.63	1.66	918.07	85.23	14.03	32.07
Accumulated Depreciation / Amortisation as on 01.04.2025	-	49.18	25.20	47.62	39.55	35.48	0.18	1.66	198.87	-	-	25.00
Charge for the period	-	1.92	2.22	2.97	3.99	2.00	0.01	-	13.11	-	-	0.40
Assets disposed /written off from books	-	-	-	(0.79)	(0.47)	(0.10)	-	-	(1.36)	-	-	-
Accumulated Depreciation / Amortisation as on 30.06.2025 (B)	-	51.10	27.42	49.80	43.07	37.38	0.19	1.66	210.62	-	-	25.40
Net Carrying Amount as on 30.06.2025 (A-B)	113.77	428.26	55.81	23.63	35.95	49.58	0.44	-	707.45	85.23	14.03	6.67

Right-of-use Assets

(₹ in crore)

Particulars	As at 30.06.2026	As at 31.03.2026
Opening Balance of Leasehold Land	38.00	37.17
Additions	-	4.02
Less: Disposal / Adjustment	-	-
Less: Depreciation*	(0.52)	(3.19)
Closing Balance of Leasehold Land	37.48	38.00

* As required by Ind AS 116 'Leases', Depreciation expense on Right-of-Use assets is included under Depreciation, Amortization and Impairment line item in the Consolidated Statement of Profit and Loss.



11 Other Non-Financial Assets

(₹ in crore)

Sr. No.	Particulars	As at 30.06.2026	As at 31.03.2026
(i)	Prepaid Expenses	24.17	8.11
(ii)	Deferred Employee Costs	86.35	86.16
(iii)	Advance towards Capital assets	1,594.26	1,594.26
(iv)	Excess Spent - CSR Expenses	-	0.47
(v)	Amount Recoverable From Income Tax Deptt.	61.69	61.69
(vi)	Advance Towards Contractual Obligations - CSR	36.67	39.05
(vii)	Security Deposits - Non Refundable	18.40	18.40
(viii)	Other assets	59.19	80.68
	Total Other Non-Financial Assets	1,880.73	1,888.82

12 Assets Classified as held for sale*

(₹ in crore)

Sr. No.	Particulars	As at 30.06.2026	As at 31.03.2026
(A)	Assets classified as held for sale		
(i)	Investment in associates	1.17	1.33
(ii)	Loan to associates	34.81	33.92
	Sub Total (i+ii+iii)	35.98	35.25
(B)	Asset Classified as Held for Sale - Building	0.01	0.01
	Total (A+B)	35.99	35.26
(C)	Liabilities directly associated with assets classified as held for sale		
(i)	Less : Payable to associates	-	-
	Total (C)	-	-
	Disposal Group - Net assets (A+B+C)	35.99	35.26

*Pertains to PFC's Subsidiaries - REC Ltd. and PFC Consulting Ltd.

13 Payables

(₹ in crore)

Sr. No.	Particulars	As at 30.06.2026	As at 31.03.2026
	Trade Payables		
(i)	Total outstanding dues of Micro, Small and Medium Enterprises	0.22	2.35
(ii)	Total outstanding dues of creditors other than Micro, Small and Medium Enterprises	172.56	208.22
	Other Payables		
(iii)	Total outstanding dues of Micro, Small and Medium Enterprises	1.76	2.07
(iv)	Total outstanding dues of creditors other than Micro, Small and Medium Enterprises	23.17	14.21
	Total Payables	197.71	226.85



14 Debt Securities

The Company and its Subsidiary REC Ltd., have categorised Debt Securities at amortised cost in accordance with the requirements of Ind AS 109 'Financial Instruments'.

(₹ in crore)

Sr. No.	Particulars	As at 30.06.2026	As at 31.03.2026
(A)	Secured Bonds / Debenture		
(i)	- Infrastructure Bonds	13.90	38.51
(ii)	- Tax Free Bonds	15,578.46	15,578.46
(iii)	- 54EC Capital Gain Tax Exemption Bonds	53,326.47	53,428.97
(iv)	- Taxable Bonds	7,835.09	7,826.87
(v)	- Bond Application Money	219.98	525.42
	Sub-Total (A)	76,973.90	77,398.23
(B)	Unsecured Bonds / Debenture		
(i)	- Infrastructure Bonds	3.96	3.96
(ii)	- Taxable Bonds	4,71,369.81	4,74,924.10
(iii)	- Foreign Currency Notes	70,167.78	67,469.13
(iv)	- Commercial Paper	2,450.00	9,505.37
	Sub-Total (B)	5,43,991.55	5,51,902.56
(C)	Total Principal Outstanding of Debt Securities (A+B)	6,20,965.45	6,29,300.79
(D)	Interest accrued but not due on (C) above	17,596.29	18,822.32
(E)	Unamortised Transaction Cost on (C) above	(705.85)	(768.94)
(F)	Hedging Adjustments - Loan Liability - FV Hedge on (C) above	330.03	(208.33)
	Total Debt Securities (iii to vi)	6,38,185.92	6,47,145.84
	Geography wise Debt Securities		
(i)	Debt Securities in India	5,67,568.16	5,79,312.96
(ii)	Debt Securities outside India	70,617.76	67,832.88
	Total Geography wise Debt Securities	6,38,185.92	6,47,145.84



15 Borrowings (other than Debt Securities)

The Company and its Subsidiary REC Ltd., have categorised Borrowings (other than Debt Securities) at amortised cost in accordance with the requirements of Ind AS 109 'Financial Instruments'.

(₹ in crore)

Sr. No.	Particulars	As at 30.06.2026	As at 31.03.2026
(A)	Secured Borrowings		
(i)	Other Loans from Banks		
	- Loan against Term Deposits	-	849.12
	Sub-Total (A)	-	849.12
(B)	Unsecured Borrowings		
(i)	Term Loans from Banks and Financial Institutions		
	- Foreign Currency Loans	1,62,426.36	1,61,869.70
	- Rupee Term Loans	1,50,762.21	1,51,574.75
(ii)	Term Loans From other Parties		
	- Foreign Currency Loans- Multilateral/Bilateral Agencies	9,820.47	14,562.72
	- Rupee Term Loans - NSSF	17,500.00	17,500.00
	-Short Term Loans from Other parties	423.97	-
(iii)	Other Loans from Banks		
	Working Capital Demand Loan / Overdraft / Cash Credit / Line of Credit	7,850.98	5,368.71
	Sub-Total (B)	3,48,783.99	3,50,875.88
(C)	Total Principal Outstanding of Borrowings (other than Debt Securities) (A+B)	3,48,783.99	3,51,725.00
(D)	Interest accrued but not due on (C) above	1,615.47	1,577.00
(E)	Unamortised Transaction Cost on (C) above	(1,266.87)	(1,365.58)
	Total Borrowings (other than Debt Securities) (C to E)	3,49,132.59	3,51,936.42
	Geography wise Borrowings		
(i)	Borrowings in India	1,81,668.87	1,84,002.93
(ii)	Borrowings outside India	1,67,463.72	1,67,933.49
	Total Geography wise Borrowings	3,49,132.59	3,51,936.42

16 Subordinated Liabilities

The Company and its Subsidiary REC Ltd., have categorised Subordinated Liabilities at amortised cost in accordance with the requirements of Ind AS 109 'Financial Instruments'.

(₹ in crore)

Sr. No.	Particulars	As at 30.06.2026	As at 31.03.2026
(A)	Subordinated Liabilities (Unsecured)		
(i)	Perpetual Debt Instruments (Principal Outstanding)	5,660.00	5,660.00
(ii)	Subordinated Bonds (Principal Outstanding)	7,562.20	7,562.20
(B)	Total Principal Outstanding of Subordinated Liabilities	13,222.20	13,222.20
(C)	Interest accrued but not due on (B) above	322.27	364.03
(D)	Unamortised Transaction Cost on (B) above	(61.74)	(143.37)
(E)	Hedging Adjustments - Loan Liability - FV Hedge on (B) above	20.58	(21.66)
	Total Subordinated Liabilities	13,503.31	13,421.20
	Geography wise Subordinated Liabilities		
(i)	Subordinated Bonds in India	13,503.31	13,421.20
(ii)	Subordinated Bonds outside India	-	-
	Total Geography wise Subordinated Liabilities	13,503.31	13,421.20

